

the small-caps triumphed. From mid-1983 to the end of 1990, a seven-year stretch, the big-caps won. In the first years of this decade, my kind of stocks gained the ascendancy; then the big boys took over again, in 1994. We have seen some lean years of late, so perhaps we have some fat ones owed us.

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Trying to sell an illiquid stock in a down market brings to mind the galley slaves in *Ben-Hur*, chained to their bench while the ship sinks.

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Sure, you can pick small-cap stocks that do well no matter what style's in vogue, but it's harder when you have to swim against the tide. And you are more likely to be faithful to a fickle market if you are getting satisfaction from some part of your portfolio at all times. Style diversification, too, is smart policy.

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There's one sure antidote to the liquidity problem: buy stocks you don't have to sell for a good long time.

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There is one other risk in small-caps: trading is difficult. They tend to be illiquid, at least for an institutional manager like myself who owns several thousand shares rather than a couple of hundred. When you want to sell, you find there aren't enough buyers unless you keep knocking down the price you'll accept, and sometimes it seems there are no buyers at any price. I remember—though I'd rather forget it—one stock I tried to unload for two years